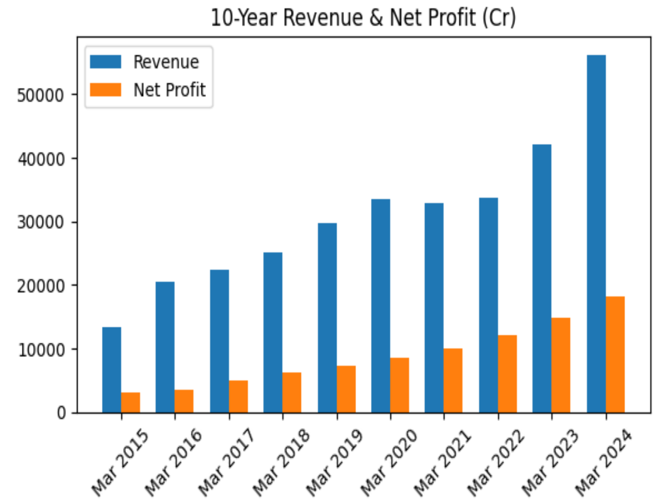
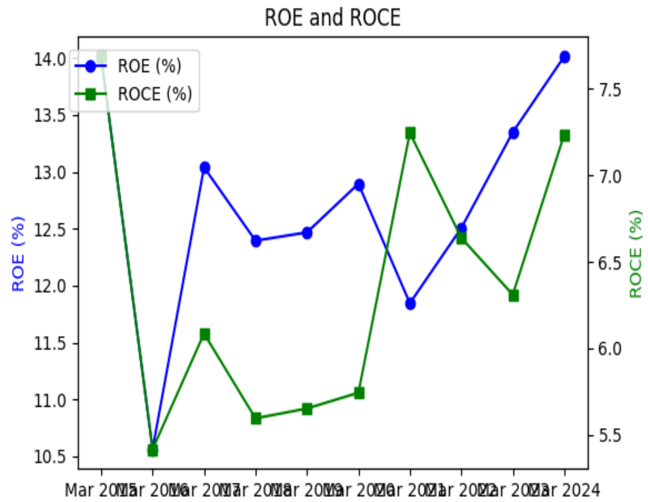
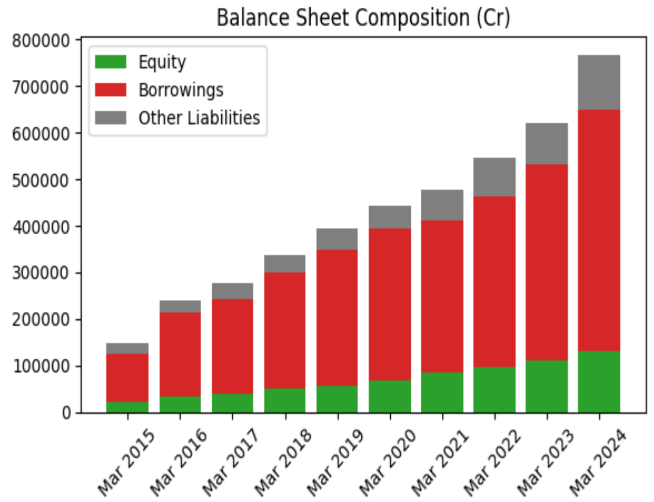
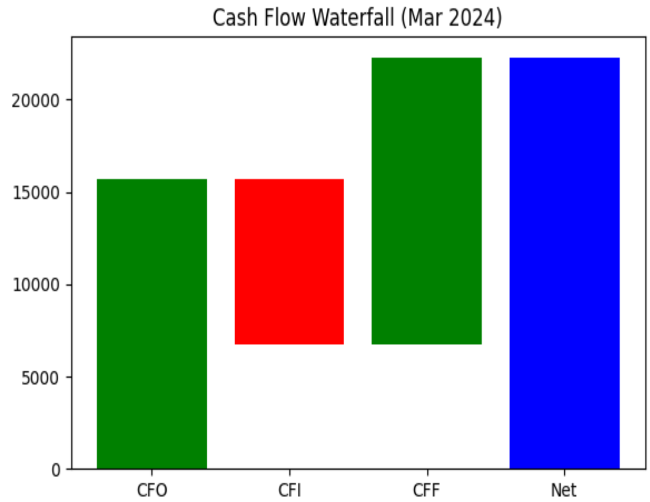
Kotak Mahindra Bank Ltd (KOTAKBANK)

Revenue ■64,053 Cr	**Net Profit** ■22,530 Cr	**ROE** 14.0%
ROCE 7.2%	**CFO Quality** High Quality	**Allocation** Mixed









Pros

- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Revenue growing slower than profits shows improving operating leverage and scale benefits
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Return on equity improving for 3 consecutive years shows strengthening business quality
- Net profit compounding at above 20% over 5 years creates significant shareholder value

Cons

- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations

Capital Allocation Pattern: Mixed